

RIVETZ CORP. · RIVETZ INTL. SEZC

P.O. Box 93, Richmond, Massachusetts 01254

August 25, 2026

Vanessa A. Countryman, Secretary
U.S. Securities and Exchange Commission
100 F Street NE, Washington, DC 20549-1090

Re: Regulation Crypto Assets — File No. S7-2026-27
Release Nos. 33-11434; 34-106150; RIN 3235-AN38

Dear Ms. Countryman:

Rivetz Corp. and Rivetz Intl. SEZC submit this letter on the proposed Regulation Crypto Assets. We previously provided written input to the Crypto Task Force, and this letter continues the position we took there.

We write from an unusual position. Rivetz Intl. SEZC is the issuer of a covered investment contract as the Commission now defines that term — determined to be such by a federal court, on summary judgment, in an action brought by the Commission. *SEC v. Rivetz Corp.*, No. 3:21-cv-30092-MGM (D. Mass. Sept. 30, 2024). We retain every document from the 2017 offering.

We do not ask the Commission to revisit that decision. We have done something we believe is more useful: **we applied the proposed rules to the actual documents, and asked what would have changed.**

Other commenters have predicted that a disclosure regime keyed to an issuer’s “representations or promises to engage in essential managerial efforts” will penalize the issuer who documents its plans and reward the one who stays vague. GSR International put it directly: projects that publish detailed roadmaps “face greater attachment risk than opaque ones,” so “issuers are incentivized to remain vague.” Alluvial and a16z have each described the same perverse incentive from different vantage points.

We are not predicting it. We withheld a support obligation and a published timeline for precisely that reason, and the element was found satisfied anyway — on descriptive language and third-party market forecasts. That is the contribution we can make that others cannot: not the argument, but the record.

Our recommendations follow. Several ask the Commission only to complete what commenters have already requested. Four raise gaps we believe no one has yet identified.

I. The 2017 record

Rivetz Intl. SEZC — a Cayman Islands exempted company, incorporated June 22, 2017 and re-registered as a special economic zone company effective July 18, 2017 (company file no. 324025), captioned by the Commission as “Rivetz International SEZC” — sold RvT under written public terms. A Pre-Sale ran July 10 through August 9, 2017; a Crowdsale ran August 10 through September 10, 2017. Tokens were delivered on payment; nothing was deferred and no future-token instrument was used. The price was fixed and uniform: **.003 ETH per token, payable in ETH only**. Pre-Sale Terms, Ex. B ¶ 1 (Dkt. No. 37-2). The court so found. Op. at 11, 13.

The Commission alleged that approximately 7,200 investors purchased RvT, including 2,160 in the United States, and that of 70 million tokens offered, 22 million were sold. Compl. ¶¶ 36–37, *SEC v. Rivetz Corp.*, No. 3:21-cv-30092 (D. Mass. filed Sept. 8, 2021).

Separately, Rivetz Corp. filed a Form D on EDGAR under CIK 0001634348 on December 6, 2017 for a Rule 506(b) **equity** offering — \$1,586,624 from eighteen accredited investors, first sale November 20, 2017. A prior Form D was filed under the same exemption in 2015.

The sale terms were engineered to fail the third prong of *Howey*. The disclaimers were the strategy, not the fine print:

“The Tokens are not intended to be a digital currency, security, commodity, or any kind of financial instrument.”

“While Company is developing certain applications and software for use in the Ecosystem, **Company does not operate or control the Ecosystem.**”

“The Tokens are intended to be used solely within the Ecosystem, and **Company will not support or otherwise facilitate any secondary trading or external valuation of Tokens.**”

Every purchaser warranted they were “not purchasing Tokens for any other purposes, including, but not limited to, **any investment, speculative or financial purpose.**”

Two omissions were as deliberate as the disclaimers. **We offered no service and no support obligation with the product**, because any ongoing obligation might be characterized as creating a security. **We published no project timeline or milestone schedule**, for the same reason. Our accounting reflected the same judgment: revenue was recognized in full at the time of sale — an assertion, under the applicable revenue recognition standard, that no performance obligations remained.

The terms carried a full risk-factor exhibit of twenty enumerated risks, in the purchaser’s terms on **July 9, 2017** — the day before the Pre-Sale opened. The Commission issued its DAO Report on **July 25, 2017**, sixteen days later. *Report of Investigation Pursuant to Section 21(a) of the Securities*

Exchange Act of 1934: The DAO, Exchange Act Release No. 81207 (July 25, 2017). The SAFT framework was published October 2, 2017. Proposed Rule 103(b)(10) now requires substantially what we wrote.

II. What decided the case

The court found the third *Howey* element satisfied on this record:

“Both the White Paper and exhibit to the ICO terms described the RvT token as a necessary component of the security ecosystem, such that growth of the ecosystem would increase demand for RvT tokens, thereby increasing their value.” Op. at 15.

“The RvT tokens were functional as ERC-20 tokens, but they had no additional uses or inherent value because Rivetz did not yet have a functional security ecosystem.” *Id.*

It devoted a paragraph to third-party market forecasts appearing in the whitepaper — projections of cybersecurity losses, IoT device counts and industry growth rates, of the kind that appear in essentially every technology whitepaper and registration statement. Op. at 8–9.

The evidence, in short, was **descriptions of intended functionality and of the market that functionality would serve**. The opinion’s *Howey* analysis contains no discussion of secondary trading, pricing or discount mechanics. No promise of a secondary market, of liquidity, or of market support was made to any purchaser; the Commission took full discovery and did not contend otherwise.

As to the written terms, the court held:

“His argument **might be meritorious** were the court required to credit contractual formalities and limiting language included in documents provided to purchasers participating in the ICO; **however, the opposite is true.**” Op. at 13.

We do not present this as an aberration. It is consistent with a converging line — *Telegram* (tokens not yet usable at the time of sale), *LBRY* (consumptive-use defense rejected where the issuer’s own statements signaled that value would rise with the company’s efforts), and *Payward* (no formal contract or post-sale obligation required). Commenters have already placed that line before the Task Force.

That convergence is the point. **Four courts have now held that an issuer’s own descriptive and promotional statements can satisfy the third element of *Howey*. That is precisely why a rule compelling such statements requires an express provision that they are not evidence of the thing they describe.**

III. The rules require the issuer to produce the element

The third *Howey* element requires a promise of effort by the issuer, and an expectation that the effort will increase value. Regulation Crypto Assets requires an issuer to produce both, in separate subsections.

The promise of effort. Rule 103(b)(1) requires a description of “the issuer’s **representations or promises to engage in essential managerial efforts** under the covered investment contract **and its progress with respect to such representations or promises.**”

The schedule of effort. Rule 103(b)(5) requires “the issuer’s plan of development... including the issuer’s progress with respect to its plan of development.” The proposing release, characterizing the 2026 Interpretation, states that representations to develop functionality “together with a business plan containing **detailed milestones, a timeline... likely would create a reasonable expectation of profits,**” while representations “lacking milestones... **likely would not.**” Release No. 33-11434, at 56–57 (characterizing 2026 Interpretation, 91 FR at 13721–22).

The increase in value. Rule 103(b)(9) requires description of the “current and **anticipated** ecosystem.” Rule 103(b)(7) requires the asset’s economics. Form 1-CRYPTO states that “the Commission **encourages** the use of management’s projections of **future economic performance.**”

We are not asking the Commission to withdraw any of this. The plan-of-development requirement is disclosure the industry itself requested — the release attributes it to commenters, and Coinbase proposed substantially this item. We think they were right to ask for it. Investors in these offerings are better served by a documented plan than by its absence.

The problem is not the disclosure. It is that nothing in the proposal says what the disclosure is not. The same commenters who asked for a plan of development did not ask that producing one become evidence that the asset is a security. Several asked expressly for the opposite. The Digital Chamber requested that the Commission indicate “reliance on the safe harbor does not establish a presumption that a particular offer or sale constitutes an investment contract transaction.” a16z asked that “failure to meet the conditions specified should not create a presumption.” Hedera asked that development plans not be treated as binding, warning that exposing founders to fraud claims over disclosed plans “would be unfortunate.”

We join those requests, and ask the Commission to complete them. Our first recommendation identifies the specific provision through which that can be done, and a gap in it that we believe has not been raised.

Two further observations from applying the rules to our own record.

First, the whitepaper firewall is gone. Our exhibit provided that the whitepaper and website “do not... form part of these Terms.” Rule 103(a) now provides that disclosure **should be** consistent with “the issuer’s public statements... and promotional materials (such as whitepapers).” The Commission has correctly diagnosed the mismatch between paper and promotion; the remedy points the issuer toward the promotional record rather than away from it.

Second, **neither exemption would have been available.** The startup exemption caps at \$5,000,000. The fundraising exemption reaches \$75,000,000 but Rule 300(b)(1) requires a U.S.-organized issuer. Rivetz Intl. SEZC is Cayman.

IV. The defect beneath all of it

“Essential managerial efforts” appears **79 times** in the release. The singular form appears zero times. It determines whether a covered investment contract exists, what Rule 103(b)(1) requires, and the entirety of Rule 400.

It is defined nowhere. Rule 100 defines ten terms and incorporates Rule 405, which does not define it either.

Yet the term appears **seven times in the operative regulatory text and forms**: in Rule 103(b)(1); twice in Rule 400(a); twice in Form TR, Item 2, captioned “**Certification Regarding Essential Managerial Efforts**”; and in the Form NOR signature block, where the signer certifies an intent to fulfill, within four years, “the **essential managerial efforts** in which I represented or promised investors I would engage.”

The Commission requires a sworn certification concerning a term it does not define, on two separate forms. We are not the first to raise the indeterminacy — AIMA, Coinbase, Ripple, GSR and Consensus have each asked for definition, and Consensus has framed the omission as an unexamined cost under the Administrative Procedure Act. We adopt that framing and add the certification point: an issuer is asked to swear to a four-year intention regarding conduct the rules decline to describe, with no stated consequence if the issuer’s characterization and the staff’s diverge at year four.

The Commission’s contrary view — that post-functionality services to “secure, maintain, improve, or enhance” a network are not such efforts — appears only in the preamble, gated on “**functional,**” which appears ten times as a standalone word and is likewise undefined. Concluding the same passage: “Prior to functionality, however, such services are provided or coordinated by the issuer and likely constitute essential managerial efforts.” Release at 58.

Jump Crypto has already explained to the Task Force why a preamble cannot carry that weight: an interpretive statement leaves private litigants free to urge courts to reject the Commission’s reading, citing *Loper Bright Enterprises v. Raimondo*, 603 U.S. 369 (2024), so the Commission should instead

act through its exemptive authority, producing a rule “binding until rescinded.” We agree, and note that the Securities Act analogue is Section 28, 15 U.S.C. 77z-3, cited in the authority note for Part 228.

(We cite Jump Crypto for that remedial proposition only. We take no position on its separate argument that an investment contract requires a contract.)

V. Recommendations

The gap we believe has not been raised

1. Extend Rule 175 to both exemptions, and provide that compelled disclosure is not probative of classification. *(Questions 27, 28, 32.)*

This rulemaking already amends 17 CFR 230.175. **As proposed, the amendment extends the forward-looking statement safe harbor only to statements made under “Regulation A or subpart C” — the fundraising exemption.** Release at 357–58. Subpart B, the startup exemption, is not included.

Yet Rule 103(b)(5) requires a plan of development from subpart B issuers as well. **The smallest issuers in the framework are required to publish forward-looking statements and are the only ones denied the safe harbor for making them.** We do not believe this is deliberate.

We recommend the safe harbor reach both exemptions, and further provide that **disclosure made in compliance with Rule 103 — including the plan of development required by Rule 103(b)(5) and the management projections encouraged by Form 1-CRYPTO — is not probative of whether the subject crypto asset is or was subject to an investment contract.**

The Commission has already determined that compelled and encouraged forward-looking disclosure should not expose an issuer to fraud liability where reasonably based. The same reasoning applies to classification. **A statement an issuer is required by rule to make cannot fairly be evidence that the rule applied to it.**

This completes what The Digital Chamber, a16z and Hedera have each asked for, and it is the provision through which the concern in Section III is resolved.

Definitions

2. Define “essential managerial efforts” in Rule 100. (*Question 3: “Are there additional terms used in Regulation Crypto Assets that we should define?”; Question 132.*)

We join AIMA, Coinbase, Ripple, GSR and Consensus in asking for a definition. Ripple has proposed operative text, keyed to whether a material promise remains outstanding and whether the holder has enforceable rights, and asking that general public statements and puffery not qualify. We support that structure and propose text that adds an express exclusion:

“Essential managerial efforts” means efforts that the issuer has represented or promised it will perform for the benefit of holders, and upon which delivery of the represented functionality depends. Descriptions of anticipated network growth, adoption, or increased utility, unaccompanied by a representation or promise to build or provide, do not constitute essential managerial efforts.

The second sentence is the one we have not seen drafted elsewhere, and it is the sentence that resolves our own case: it distinguishes a description of what a technology is expected to become from a promise to bring it about.

This tracks existing authority. In *De Luz Ranchos Inv., Ltd. v. Coldwell Banker & Co.*, 608 F.2d 1297, 1301 (9th Cir. 1979) — applying the very phrase the Commission has adopted, drawn from *SEC v. Glenn W. Turner Enterprises*, 474 F.2d 476, 482 (9th Cir. 1973) — the court found no essential managerial efforts where the contracts obligated the seller “to do no more than transfer title,” and where promotional representations about future development were made but “no timetable for the development was set.” Accord *Revak v. SEC Realty Corp.*, 18 F.3d 81, 88–89 (2d Cir. 1994) (no investment contract absent a “collateral agreement”); *Rodriguez v. Banco Central Corp.*, 990 F.2d 7, 11 (1st Cir. 1993) (Boudin, J.) (no security where “the evidence did not show that the promoter or any other obligated person or entity was **promising** the buyers to build or provide anything”).

We note that *Rodriguez* reached that conclusion after examining the promoters’ oral sales pitches and brochures, not merely the contracts, because “the promotor properly is held to his representations as to what he is selling... even where those promises go well beyond the legal terms of the contracts and the fine print of the disclaimers.” *Id.* (citing *SEC v. C.M. Joiner Leasing Corp.*, 320 U.S. 344, 353 (1943)). The relevant question is whether the issuer made promises, not whether they were reduced to an enforceable covenant — which is why Rule 103(b)(1)’s focus on “representations or promises” is the correct hook, and why defining that term is the operative step.

3. Define “functional” by holder-exercisable capability — not by the absence of control.

(Questions 131, 132.)

Most proposals before the Task Force define network maturity by reference to **control**: they ask when centralized control has been eliminated, or when no person retains unilateral authority to change the protocol. We understand the intuition. We think the test is the wrong one, and we want to say why plainly, because the same reasoning governs Recommendation 8 below.

A control test cannot be satisfied without cost, and the cost is the ability to repair.

Every system that can be fixed has someone who can fix it. A network in which no person or group retains any capacity to alter the protocol is not thereby sovereign; it is unmaintainable. It cannot patch a vulnerability, cannot migrate a deprecated algorithm, and cannot respond to a cryptographic failure. “Control has been eliminated” and “no one can repair this” are the same sentence.

So a rule that rewards the elimination of control does not eliminate control. **It relocates it — usually into informal arrangements that are neither disclosed nor accountable.** That is a worse outcome than disclosed retained capability, and it is a foreseeable consequence of making control-elimination the test.

The clearest demonstration is the one now in front of every network at once. The migration away from currently deployed signature schemes in anticipation of cryptographically relevant quantum computing is not being designed by token holders, and it will not be resolved by governance vote. It requires coordinated protocol-level engineering judgment, exercised by people with the expertise to exercise it. Every network that relies on currently deployed elliptic-curve signature schemes faces that transition, and none of them will arrive at an answer by ballot. We say that as an observation, not a criticism — coordinated technical judgment is the correct way to solve the problem. But it means that networks held out as having eliminated centralized control will, at the moment of the largest cryptographic transition in the industry’s history, rely on exactly the kind of coordinated judgment the control test treats as disqualifying.

A test that the leading example cannot satisfy, at the moment it matters most, is not a workable test.

Rule 400 does not gate on “decentralized.” It gates on “functional.” We suggest the word be given its own meaning:

Where any holder can exercise the asset’s core capability without further action by the issuer, the network or application is functional as to that capability.

This asks what a holder can do, not what an issuer has surrendered. It is binary and issuer-independent, where control tests require judgments of degree about arrangements that are often undisclosed. And it does not require an issuer to destroy its capacity to repair the thing in order to establish that the thing works.

The companion to a capability test is disclosure of retained capability, not its elimination. Rules 103(b)(6) and 103(b)(8) already require description of security and of governance mechanisms, smart contract governance and permissions. That is the right instrument. An issuer that discloses what it can still do, and the circumstances in which it may do it, has given holders and counterparties something they can price. An issuer that has renounced everything has given them a system nobody can fix.

4. Place the release’s carve-out in the text of Rule 400. (*Questions 125, 127, 132.*)

Several commenters have asked the Commission to codify its interpretive positions rather than leave them in guidance. We ask for something narrower and immediately actionable: **move the sentence at Release page 58 into Rule 400.** Services to secure, maintain, improve, or enhance a functional network or application, or to facilitate its network effects, are not essential managerial efforts. The Commission has already written the sentence. It belongs where a court and a private plaintiff must read it.

Compelled disclosure

5. State that functional and market description is not, without more, a representation of profit — and that it does not displace the issuer’s written terms. (*Questions 27, 28.*)

We join GSR, Coinbase, The Digital Chamber, Alluvial, Ethena and Ripple, who have each made the first half of this point. Coinbase put it well: previewing future enhancements to a product is “ordinary course commerce,” and such statements may affect value “but without a promise of financial returns this does not make the asset a security.”

We add the second half, from the record. In our case, market description was not merely additional evidence. **It was the mechanism by which the written terms were set aside.**

The court described the whitepaper’s account of industry demand, the solution, the token’s role and the team’s expertise as having “painted an optimistic picture of the market for Rivetz’s cybersecurity service and, **by extension, future demand for RvT tokens,**” and noted that “[l]arge figures were used to demonstrate a rapidly growing market.” Op. at 8–9. It then addressed the contract directly:

“His argument **might be meritorious** were the court required to credit contractual formalities and limiting language included in documents provided to purchasers... however, the opposite is true... This court must look to the economic realities of the transaction, **especially the language used to encourage potential purchasers.**” Op. at 13.

The market description was the language used to encourage potential purchasers. That is what displaced terms stating the tokens were not securities, not investments, that the company did not control the ecosystem, and that it would not support secondary trading.

Now set that beside Form 1-CRYPTO, which states that “the Commission **encourages** the use of management’s projections of **future economic performance**.”

The proposal encourages an issuer to produce the category of statement that operates to override its own contractual language. An issuer cannot draft around this, because careful drafting is precisely what gets set aside — and the instrument that sets it aside is one the Commission invites. That is not a criticism of the encouragement; projections with a reasonable basis are useful to investors. It is the reason Recommendation 1 is necessary rather than merely desirable. Without an express provision that compelled and encouraged disclosure is not probative of classification, the protection an issuer writes into its own terms is worth nothing against the disclosure the Commission asks it to publish.

The same point disposes of the digital tool category in practice. The 2026 Interpretation classifies digital tools by function and states they are not themselves securities. Rules 103(b)(3), (b)(5), (b)(6) and (b)(9) require detailed description of that function, and Form 1-CRYPTO encourages description of the market it serves. If those descriptions remain available to establish the third element, every compliant issuer will have described its way into an investment contract, and the category will exist only on paper.

6. Treat revenue recognition as admissible and probative — not dispositive. (*Questions 27, 28.*)

Where an issuer recognizes revenue in full upon delivery, it asserts, subject to audit, that no performance obligations remain. That assertion addresses the same question *Howey* asks. The fundraising exemption already requires financial statements, so the evidence is in the filing at no marginal cost.

We ask only that the treatment be **weighed**, not that it control. We recognize the objection — that audited financials are a heavy requirement for a small issuer, and that an election which carries legal weight invites gaming. We accept the corollary: the test cuts both ways. An issuer that defers revenue because its instrument carries ongoing entitlements should not be heard to say no obligations remain. Our own earlier written input to the Task Force describes recognizing certain licence revenue over three years for precisely that reason.

Rule 400 operability

7. State that security maintenance is never an essential managerial effort. (*Questions 127, 132.*)

Commenters have already asked that risk-mitigating activity not be treated as securities-creating. Alluvial noted that the *Consensys* complaint relied on the existence of security audits. The Digital Chamber asked that developers not face liability for “security improvements, and ongoing maintenance.” a16z asked that the ability to pause execution to address a vulnerability not, on its own, constitute custody.

We ask the Commission to extend that to the cryptographic layer specifically: algorithm migration, post-quantum transition, key rotation, patching and vulnerability response are never essential managerial efforts.

This is not hypothetical for us. Our 2017 terms disclosed that “advances in cryptography, or technical advances such as the development of **quantum computing**, could present risks to the Tokens and the Ecosystem,” and reserved to the Company “the right to migrate the ERC-20 Tokens to another protocol in the future.” Pre-Sale Terms ¶ 6(d), Ex. D. Every purchaser agreed to both. Under Rule 400 as drafted, permanently abandoning that reserved remedy would be the price of exiting securities status — while Rule 103(b)(6) simultaneously compels the issuer to describe its security posture.

We are conscious that retained upgrade authority is itself treated as an indicium of centralization, and that security practitioners have cautioned against regulatory outcomes that push protocols toward centralized administrative structures because those are the familiar form of emergency response. We share that concern, and we do not ask the Commission to bless a standing discretionary lever.

The distinction we ask for is between precommitted and discretionary remediation. A migration path that is disclosed in advance, scoped to a defined class of cryptographic failure, and — where practicable — subject to holder ratification is not the same instrument as an open-ended power to alter an asset at will. The first is a maintenance obligation an issuer owes its holders and can be priced by anyone who reads the disclosure. The second is control.

This is the operational form of the point made under Recommendation 3. **The question is not whether a capacity to repair exists — in any maintainable system it does, whether or not it is admitted. The question is whether it is disclosed, bounded and accountable.** A rule that cannot distinguish the two pushes issuers toward destroying their ability to repair a cryptographic defect, or toward retaining it informally and not saying so. Neither serves holders.

8. Address post-closing conduct. (*Question 127.*)

We do not contend that an investment contract requires post-sale obligations; courts have rejected that. We adopt instead the formulation Ripple has already put before the Task Force: conduct by a party after an offering has closed may, on its own facts, give rise to a **new** transaction to be analyzed on its own terms. It should not retroactively re-characterize a closed offering, and it should not defeat a Rule 400 certification made in good faith on the facts as they stood.

Identity, situs and eligibility

9. Publish the binding between a filer and the contract it transacts under. (Questions 32, 128.)

GSR has stated the market problem precisely: absent “any registry, database, or authoritative public notice through which third parties can confirm that separation has occurred,” a firm transacting across hundreds of crypto assets “cannot be certain, at the time of any given trade” what it is handling. Separation is issuer-driven and, as GSR notes, may occur gradually or silently.

That is an identity problem before it is a disclosure problem, and others have reached for it. Bluprynt and Chainlink Labs have proposed a Know-Your-Issuer construct binding verified issuer identity and mint authority to a contract address. GUARDD has asked that contract address and network be published in standardized, machine-readable form. GLEIF identifies entities; DTI identifies assets. Each is a private or technical answer to a question that already has a legal instrument.

A registered trade name is how commerce has handled the gap between an entity’s charter name and the name it transacts under for more than a century. A contract address is such a name.

This is not a proposal. It is a description of an existing record. The binding between one legal person and one blockchain address is presently **adopted by unanimous written consent of a Delaware board of directors under 8 Del. C. § 141(f)**, in the same instrument and adjacent to the resolution opening the corporation’s bank account; **recorded in the fictitious name registry of the State of Delaware** under 6 Del. C. ch. 31, filed with and attested by the Prothonotary; **carried in the Commission’s own EDGAR filer identity system**, where a Form ID stating that address as the applicant’s “doing business as name” was accepted on July 2, 2026; and reflected in the standard commercial business registry maintained by Dun & Bradstreet.¹

That a board authorized a digital name and a bank account in adjacent resolutions is the point in miniature. The instrument is not exotic. It is corporate infrastructure, and it was treated as such.

What no rule does is give the binding effect, and what the Commission does not do is publish it. Form ID submissions are filer-management records rather than public filings, so the Commission collects this information and keeps it internal. Form TR requires only “a brief description of the covered investment contract and crypto asset sufficient for a reasonable investor to identify the security and crypto asset to which this Form TR relates.” Form TR, Part I, Item 1. Nothing establishes that the filer controls or is responsible for the contract.

Rule 103(b)(7) already requires disclosure of “methods to verify the subject crypto asset’s transaction history.” Having required verification of an asset’s history, the Commission is one step from requiring verification of its identity.

The Commission is not asked to build a registry. It is asked to publish a field it already collects, and to give effect to what the States and the commercial registries have already recorded. We note that participation should be voluntary and the record public — the value is in publication, not compulsion.

One practical observation. The Delaware record described below is, as issued by the State, a scanned image of a paper form bearing a rubber stamp. It contains no machine-readable data and no digital signature. The legal instrument is sound and century-tested; the record of it cannot be read by a machine.

The Commission is deciding this question for crypto assets. It will not stay confined there.

Section 7001(h) of the E-SIGN Act provides that a record is not denied legal effect because its formation involved an electronic agent, “so long as the action of any such electronic agent is **legally attributable to the person to be bound**,” and Section 7006(3) defines an electronic agent in terms that describe a smart contract precisely. Congress imposed that attribution requirement in 2000 and supplied no means of satisfying it. In the intervening years the agents have become substantially more capable, and increasingly they correspond, contract and transact on behalf of companies. The question presented by a smart contract executing a sale and by an automated agent executing a document is the same question: which legal person is answerable.

The prevailing answer today is domain-based — certificates and addresses that authenticate a host, are leased annually, and expire. The alternative is the one the States have maintained for over a century: a registered name, bound to a legal person, in a sovereign record.

In addressing the narrow case now before it, the Commission has the opportunity to establish the general instrument. We would encourage it to do so deliberately rather than incidentally.

10. Address where a transaction executed by a smart contract occurs. (*Questions 32, 127.*)

Several commenters have raised the territorial question. Octet, Variant Fund and Arktouros have noted that securities law already treats location as dispositive under *Morrison* and Regulation S, yet “no tool in the current compliance stack verifies where a party is at the moment a transaction occurs.” Wintermute has asked the Commission to make clear that trading by non-U.S. parties from outside the United States is extraterritorial activity. Manatt has documented how Regulation S Category 3 operates for assets that emit or rebase.

Our observation is narrower and, we believe, unmade: the proposal answers the territorial question on the issuer axis and never answers it on the transaction axis. Rule 300(b)(1) conditions eligibility on where the issuer is organized. Rule 500 preempts State registration for certain secondary transactions. But neither the rules nor the release identifies where a transaction settled on a globally replicated ledger takes place — signing is local, the broadcast endpoint is elective, and execution occurs simultaneously on nodes in every jurisdiction. The words “situs,” “extraterritorial” and “outside the United States” do not appear in the release.

11. Confirm the disqualification lookback. (*Question 41.*)

Rule 262(a)(2) reaches court orders enjoining a person from conduct in connection with the purchase or sale of a security, entered within five years. It contains no scienter element, and the Commission has stated that Section 5 triggers require none. We do not ask the Commission to change that.

We ask only that the adopting release make explicit what the Commission’s own prior guidance provides: that disqualification arising from a permanent injunction runs five years from entry, not for the life of the injunction. Release No. 33-9414, at 37 n.113. Issuers and their counsel should not have to locate that proposition in a 2013 footnote.

12. Address the position of issuers organized outside the United States.

The Commission states a goal of reducing incentives to create and operate offshore. We note the limited and checkable version of the problem: **Rule 300(b)(1) makes the fundraising exemption unavailable to a non-U.S.-organized issuer, and the startup exemption’s \$5,000,000 ceiling is too low to restructure beneath.** There is therefore no route into Regulation Crypto Assets itself for such an issuer, whatever other exemptions may remain available.

We add a threshold cost we have not seen quantified. Rule 400(b) requires an EDGAR filing, and a foreign issuer with no existing filer identity must first obtain one — a process requiring notarized authentication and individual account credentials for administrators who may be located abroad. We have just completed it: three submissions over four months before acceptance. The economic analysis does not appear to account for this.

VI. Why these questions are not academic

The 2026 Interpretation states the Commission’s view that digital tools are not themselves securities, and that a non-security crypto asset may nonetheless be sold subject to an investment contract. It further states:

“The associated investment contract will continue to be transferred to subsequent purchasers of the non-security crypto asset in secondary market transactions until the non-security crypto asset separates from the issuer’s representations or promises, as discussed below.”

On the Commission’s own view, the investment contract travels with the asset until separation occurs. It reaches holders who never met the issuer and purchased years later from strangers. Those holders cannot cure their own position.

Nor can their counterparties price it. As GSR has explained, separation is issuer-driven and may occur gradually or silently, and there is no authoritative public notice by which a market participant can confirm it has happened. The holder cannot act; the market maker cannot verify; and only the issuer can file the instrument that would settle it.

That is the connection between the definitional recommendations and the identity recommendation. A transition report under Rule 400 is the only instrument in this proposal that establishes separation — and an off-ramp whose sole condition is an undefined term, gated on a second undefined term, and certified under oath on two separate forms, will be used by few issuers and relied upon by fewer counterparties. Recommendation 9 is what would make a filed Form TR findable by the people who need to rely on it.

The Commission has the authority to define both terms, has invoked that authority on the first page of this rule, and has already written the substance of the answer into the proposing release. We ask that it be moved into the rule.

We would welcome the opportunity to discuss any of the foregoing with the staff.

Respectfully submitted,

Steven Sprague

Chief Executive Officer, **Rivetz Corp.** (CIK 0001634348)

Chief Executive Officer, **Rivetz Intl. SEZC**

¹ ROOTZ CORP. d/b/a 0xD36AAf65a91bB7dc69942cF6B6d1dBa4Ef171664 — adopted by unanimous written consent of the Board of Directors under 8 Del. C. § 141(f), June 15, 2024, which resolved that the fictitious name be registered “under the Ethereum public Key,” “[t]o be controlled by the board of Rootz using a multi signature wallet,” and “[t]o be used to authorize any digital transaction as determined by the board of Directors”; Registration of Trade, Business & Fictitious Name Certificate under 6 Del. C. ch. 31, sworn April 25, 2024 and filed with the Prothonotary of New Castle County, Delaware, May 2, 2024 (attested Colleen Redmond, Prothonotary); EDGAR CIK 0002143583 (Form ID accepted July 2, 2026, accession 9999999996-26-049629); D-U-N-S 14-505-8248. The registered name is a 2-of-3 multisignature contract on Ethereum mainnet, which has itself recorded the binding on-chain. The undersigned is an officer of that company.